

Tata Steel Ltd — Equity Research Report

Tata Steel Ltd | NSE: TATASTEEL | BSE: 500470 | Price: INR 148 as of 12 Mar 2025 | Market Cap: INR 1,84,000 Cr | Rating: BUY | Target Price: INR 175 (+18% upside)

Investment Summary

Tata Steel is India's largest steel producer with ~35 MTPA domestic capacity (post-Kalinganagar Phase 2 ramp-up) and ~10 MTPA in Europe. We recommend **BUY** driven by domestic volume growth, improving European operations post restructuring, and an expected recovery in steel realisations over the next 12 months. The stock trades at a meaningful discount to its historical mid-cycle multiples.

Recommendation

BUY — 12-month target price of **INR 175**, derived from a blended 60% DCF / 40% EV/EBITDA peer comparison.

Key Investment Highlights

- **Volume growth:** Kalinganagar Phase 2 expansion (5 MTPA) is ramping up, expected to add ~INR 8,000 Cr incremental revenue at steady state, lifting India EBITDA margins to ~23–25%.
- **European turnaround:** UK operations have been restructured under a JV with the UK government (£500 mn support); transition to an electric arc furnace lowers unit costs and carbon exposure, improving European break-even by ~£60/t by FY27E.
- **Raw-material advantage:** ~70% captive iron-ore sourcing in India insulates margins from global ore-price volatility; coking-coal procurement diversification continues to reduce input costs.

Key Risks

- **Steel cyclicality:** A prolonged demand slowdown in China or India infrastructure spending cuts could depress HRC prices below INR 48,000/t, compressing margins.
- **High net debt:** Consolidated net debt remains elevated at ~INR 77,000 Cr (FY25E); rising rates or cost overruns on Kalinganagar could delay deleveraging.
- **Regulatory/FX risk:** EU CBAM compliance costs and INR/GBP volatility may adversely impact European profitability.

Financial Snapshot (Consolidated)

Metric (INR Cr)	FY24A	FY25E	FY26E	FY27E
Revenue	2,22,000	2,18,000	2,40,000	2,62,000
EBITDA	30,700	32,500	38,000	44,000
EBITDA Margin (%)	13.8%	14.9%	15.8%	16.8%
Adj. PAT	8,760	9,500	13,200	17,000
EPS (INR)	7.0	7.6	10.6	13.6
Net Debt	82,000	77,000	70,000	62,000

FY = April–March. A = Actual; E = Estimate. Estimates based on consensus and analyst modelling.

Valuation Summary

- **DCF** (WACC 11.0%, terminal growth 3.5%, 10-yr projection): fair value = **INR 182/share**. Key assumptions: India revenue CAGR ~8%, EBITDA margin expansion from 14% → 17%, capex ~INR 16,000 Cr/yr normalising to INR 12,000 Cr post-FY27.
- **EV/EBITDA Comps:**

Peer	EV/EBITDA (FY26E)	Implied Value (INR/sh)
JSW Steel	8.5x	170
SAIL	5.5x	145
ArcelorMittal	5.0x	155
Tata Steel (est)	6.5x	168

- **Blended target** (60% DCF INR 182 + 40% Comps INR 168) = **INR 176 ≈ INR 175** (rounded).

Catalysts & Timeline

- **Near-term (0–6 months):** Kalinganagar Phase 2 full ramp-up and Q4 FY25 earnings beat on improved India spreads could drive a re-rating.

- **Medium-term (6–12 months):** Commissioning of UK EAF and potential inclusion in global ESG indices post carbon-intensity reduction.

Bottom Line

We reiterate our **BUY** rating on Tata Steel with **medium-high confidence**; the stock offers compelling value at current levels with domestic volume catalysts and European restructuring optionality.

Sources & Data Date: Tata Steel FY24 Annual Report & Q3 FY25 Investor Presentation (tatasteel.com/investors), BSE/NSE filings, Bloomberg consensus estimates, ArcelorMittal/JSW Steel public filings. Data as of 12 Mar 2025.